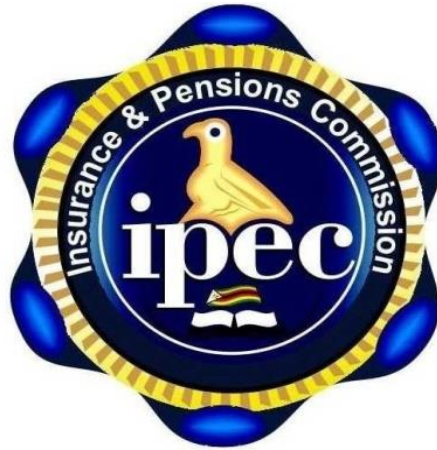




GUIDELINE FOR THE ESTABLISHMENT AND OPERATION OF MICRO-PENSION/PROVIDENT FUNDS

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PREAMBLE

This Guideline is issued in terms of Section 5(f) of the Pensions and Provident Funds Act [*Chapter 24:32*], which empowers the Commission to issue Guidelines for the proper administration and management of funds. This guideline shall be read with all the other legislation pertaining to Pensions business in Zimbabwe, including Circulars and directives issued by IPEC.

DEFINITION OF TERMS

A Micro-pension/provident fund is a voluntary fund with both savings and retirement benefit entitlements that support small, irregular and sustainable savings by individuals to provide them with a regular stream of pension annuities or lump sum in old age. The member contributes personally to obtain benefits based on a defined contribution in the form of pensions or otherwise, payable on death, retirement or any other occurrence, which entitles a member to start receiving benefits under the rules of the particular fund.

Informal Sector refers to the workers and businesses whose operations are not registered by the authorities for tax purposes.

Self-Employed - A self-employed individual earns his income through conducting legitimate trade or business for him or herself.

Micro-Pension Contributor - Refers to a person who contributes to a micro-pension fund.

1. BACKGROUND

This Guideline has been developed as part of the Insurance and Pensions Commission's strategies of promoting development and sustainability of pensions. This is also in line with driving the financial inclusion agenda through complementing Government efforts in pursuit of the National Financial Inclusion Strategy and attainment of the United Nations Sustainable Development Goal Number 1 of eradicating poverty in all forms. The Guideline is, therefore, part of the Commission's pension reforms aimed at expanding pension coverage to the self-employed, non-standard workers and low income earners, to address issues of old age poverty.

2. OBJECTIVES OF THE GUIDELINE

This Guideline has been developed to provide requirements for the registration and operation of micro-pension/provident funds. The objectives of the Guideline are to:

- (a) Provide registration requirements for Micro-pension/provident funds.
- (b) Establish minimum governance and reporting standards for Micro-Pensions/Provident Funds.

2.1 Registration

Any person wishing to establish a Micro-pension/provident fund shall apply for registration in terms of section 15 of the Pension and Provident Funds Act [Chapter 24:32], hereinafter referred to as the Act. No person shall establish or carry on the business of a Micro-pension/provident fund unless that fund is registered.

3. OPERATIONAL MODALITIES

The following processes shall be applicable to Micro-pension/provident fund:

3.1 Fund Design

The Micro-Pension/Provident fund will be voluntary and Defined Contribution in nature. The administration options for micro-pension/ provident funds shall include:-

- (i) Voluntary funds established and administered by Fund Administrators, Life Companies or such other persons as may be approved by the Commission.
- (ii) Voluntary organisations as may be approved by the Commission.

3.2 Governance of the Fund

1. The fund shall have a board consisting of at least five members and maximum of nine members, of which:-
 - (a) at least half of the board of the fund shall be independent expert members;
 - (b) the quorum for a meeting of the board shall not be less than fifty *per centum* of the board members, of which one half shall be independent expert members.
2. The rules of the micro pension/provident fund shall provide for the procedure for election of independent expert members in accordance with the following:-
 - (a) the fund shall call for persons who are interested in assuming such a position through posting a notice in a media of wide circulation and the notice must outline the attributes that shall be met by the incumbent guided by the provisions of these regulations and the Act.
 - (b) the notice shall be clear on the required experience paying due regard to the fit and probity requirements prescribed through the Act and the need to ensure skills mix and capacity enhancement of the Board and such notice shall specify the time period within which the applications shall be lodged.

(c) the fund shall ensure that it adopts transparent procedures for evaluating the applicants, including clearly documenting the process and providing reasons for choosing the successful applicants.

3. The fund shall, within seven days of the identification of the member of the board, submit the following documents to the Commission for approval of the member(s) :-

(a) a declaration by the member -See anneure A.

(b) reasons for preferring the successful candidate over other applicants.

(c) actual copy of the notice which called for the expression of interest.

(d) the documents specified under section 24 of the Act.

3.3 Eligibility

1. Members should be 18 years of age and above to be eligible to participate in a micro pension/provident fund. Membership shall be open to persons who are domiciled in Zimbabwe and abroad. The persons should have legitimate sources of income. Informal sector workers can participate as organised groups (Group Personal Pension Fund) or as individuals in a personal pension fund. The following persons can participate in Micro-pension/provident funds:

a) Employees operating in the informal sector.

b) Self-employed individuals.

c) Low income earners.

d) Domestic workers.

e) Farm workers.

f) Individual members of Micro and Small to Medium Enterprises.

3.4 Contributions

1. Contributions should be flexible in terms of amounts and frequency of contributions to cater for income fluctuations and seasonality of incomes. Micro-pension/provident contributions may be weekly, monthly, quarterly, seasonally, bi-annually, annually or at such other intervals elected by the member. A member may change from one frequency of payment to another subject to giving at least one calendar months' notice to the Fund.
2. The mode of payment of contributions should be flexible enough so as to match the mode through which the members earn their income. Thus, payments can be by cash, mobile or electronic transfers or any other mode, which is suitable and responsive to the members. Contributions, can be made in local or foreign currency as guided by the currency in use.
3. The amount of contribution shall be dependent on the Micro-pension/provident contributor's pension aspiration and financial capacity but shall not be less than the amount prescribed by the respective fund or by the regulator from time to time.
4. Contributions shall be remitted to the fund within the timelines as prescribed by the fund rules. Fund expenses, including administration or other fund costs, shall not exceed 5% of contributions or any threshold prescribed by the regulator from time to time.
5. Given the nature of income inflows for informal workers, that is non-standard workers, a member may make additional contributions to the fund in addition to the minimum contribution amount prescribed by the fund.
6. In the event that a member revokes his/her decision to continue making additional voluntary contributions to the fund, the additional voluntary contributions already paid up to the date of such revocation shall remain in the Fund until the Normal Retirement Date, unless the Member withdraws or dies before the Normal Retirement Date.

3.5 Pensionable Age

Normal retirement age for Micro-pension/provident fund members shall not be less than 55 and not more than seventy years, in line with section 15 [1] of Statutory Instrument 323 of 1991 but subject to the provision in paragraphs i, ii and iii of that sub-section.

3.6 Benefits Administration

3.6.1 Withdrawals

Due to the nature of the target groups and their needs, a portion of the balances in the Retirement Savings Account may be accessed by the member. Therefore, every contribution shall be split into two portions:

- a. Short -term savings account available for contingent withdrawals.
- b. Long- term savings account retained and managed exclusively for retirement benefits, provided that the greater amount will be apportioned to long term savings account.

A member who has not attained the retirement age may withdraw part of his/her accrued benefits from a fund to enable the member to complete a project or capital to improve or initiate a business venture.

Withdrawals may only be allowed from the short-term savings account after the member has contributed for at least 12 months to the fund, after any withdrawal or as determined by the Commission from time to time. A member may withdraw 100% of the accumulation in the short-term savings account.

A member may also withdraw a portion, which does not exceed 25% from the long-term savings account after contributing for at least 24 months to the fund provided the member does not deplete the savings and the 75% long-term saving continues to accumulate. This is meant to preserve savings for retirement to reduce old age poverty, which is the ultimate objective of micro-pensions/provident funds. The beneficiaries of the estate of a deceased contributor may withdraw the accrued benefits of the deceased from the fund.

3.6.2 Cession of Benefits

Fund rules should allow for use of pension benefits as a security or collateral against mortgage loans or business loans with any financial institution in the country after a minimum period of at least three (3) months of making contributions to the fund. The portion that may be used as security or collateral shall be 100% of the short-term savings account and 25% of the long-term savings. To manage credit risk, the member shall be required to take a Credit Life Policy from an insurer of choice or as may be determined by the credit issuing bank.

3.6.3 Portability of Benefits

A Micro-pension/provident contributor will be allowed to transfer benefits from a micro-pension fund to a pension fund or retirement annuity fund, provided that such member meets the eligibility requirements for membership to transfer to such fund. Conversion from a conventional pension fund to a micro-pension/plan shall not be allowed.

3.7 Furnishing of Particulars and Evidence

(a) A Member shall furnish such details as may be required by the fund, not only in respect of himself, but also in respect of all of his appointed beneficiaries.

b) Payment of any benefit under the Fund to any person shall be subject to the production by that person of such evidence of identity, age, entitlement to benefits and continued existence as the fund may require.

3.8 Discontinuance of Membership

Should any one individual discontinue participation in the Fund, the fund shall determine the benefits of the members, bearing in mind the liabilities to and rights of the remaining members, and pay out the accumulation.

3.9 Dissolution of a Fund

(a) The Board of Trustees, subject to the approval of the Commissioner, have the right to dissolve a fund. The fund may be dissolved subject to provisions of section 11 of the Pension and Provident Funds Act [Chapter 24:32], as read with other guiding circulars as may be provided by the Commission from time to time.

(b) The fund can be dissolved if continuance with fund operations is no longer financially viable or due to membership depletion.

(c) The effective dissolution date shall be the date when the fund obtains written approval from the Commission.

3.10 Consumer Education

Pension's financial literacy helps individuals to plan for retirement and make proper financial choices. It is therefore, important to communicate effectively with the members of the fund, as such the communication strategy of the fund must include different languages and accessible channels to the members of the fund.

4. REVIEWS AND ENQUIRIES

This Guideline is subject to review by the Commission from time to time.

All enquiries regarding this Guideline shall be directed to the Commission on enquiries@ipec.co.zw and pensions@ipec.co.zw.